

3. Efficiency Ratio

With the efficiency ratios we will assess:

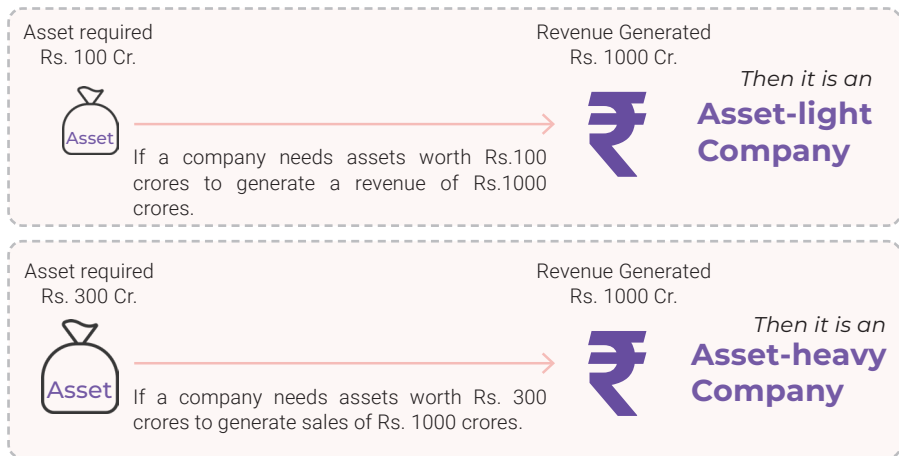
How well is the company being run?

How efficiently is the company utilizing its resources or its assets?

How efficiently is the business running with respect to its working capital and account receivables?

1 Total Assets Turnover

This ratio measures how effectively a company uses its total assets to generate revenue. In other words, how much revenue can the company generate on a given size of the assets?



However, A company's total assets do not necessarily indicate whether it is a good or a bad company.

Formula: **Revenue** / **Total Assets**